

25CHCV04035 25CHCV04035

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Case Number: 25CHCV04035 Hearing Date: September 16, 2026 Dept: F49

Dept. F49

Date: 9/16/26

Case Name: Russell Sigler, Inc. v. Thermal Air

Conditioning, Inc.; Robert Canizalez; Bledsoe XC, LLC; Xebec Building

Company, Inc.; Sylmar Studios, LLC; and Does 1-50

Case No. 25CHCV04035

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F49

SEPTEMBER 16, 2026

MOTION TO SET

ASIDE DEFAULT

Los Angeles Superior

Court Case No. 25CHCV04035

Motion filed: 4/29/26

MOVING PARTY: Defendant Thermal Air

Conditioning, Inc.

RESPONDING PARTY: Plaintiff Russell Sigler, Inc.

NOTICE: OK

RELIEF REQUESTED: An order from this Court setting aside the clerk's entry of default against Defendant Thermal Air Conditioning, Inc.

TENTATIVE RULING: The Motion is GRANTED.

BACKGROUND

This action arises from alleged nonpayment for equipment and services furnished by Plaintiff Russell Sigler, Inc. ("Plaintiff") pursuant to a purchase order. On November 13, 2025, Plaintiff filed the Complaint against Defendants Thermal Air Conditioning, Inc. ("Thermal"), Robert Canizalez ("Canizalez"), Bledsoe XC, LLC, Xebec Building Company, Inc., Sylmar Studios, LLC, and Does 1-50, alleging breach of contract, common counts, account stated, breach of personal guaranty, and foreclosure of mechanic's lien. Subsequently, on April 10, 2026, Bledsoe XC, LLC, Xebec Building Company, Inc., and Sylmar Studios, LLC were dismissed from the Complaint.

On January 26, 2026, the clerk entered default against Thermal.

On April 29, 2026, Thermal filed the instant motion to set aside the clerk's entry of default (the "Motion").

On September 1, 2026, Plaintiff filed an Opposition.

On September 9, 2026, Thermal filed a Reply.

ANALYSIS

Code of Civil Procedure section 473 authorizes the Court to set aside default "taken

against a party through the party's mistake, inadvertence, surprise, or excusable neglect." (§ 473, subd. (b).) This discretionary relief provision "is often applied liberally where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted. [Citations.]" (Elston v. City of Turlock (1985) 38 Cal.3d 227, 233.) "[B]ecause the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default. [Citations.]" (Ibid.)

When

an application for relief is made within six months after entry of judgment and is accompanied by "an attorney's sworn affidavit attesting to the attorney's mistake, inadvertence, surprise, or neglect," the court must vacate any default entered by the clerk which will result in default judgment. (Code Civ. Proc., § 473, subd. (b).) Relief from default is mandatory if based on attorney mistake, neglect, inadvertence, or surprise. (Ibid.)

Additionally,

where the Court determines that service did not result in actual notice to the responding party in time to defend the action, and that the lack of notice "was not caused by the party's avoidance of service or inexcusable neglect, it may set aside the default ... on whatever terms as may be just and allow the party to defend the action." (§ 473.5, subd. (c).)

A.

Motion to Set Aside Default

Thermal seeks to set aside the clerk's entry of default against it on January 26, 2026, on the following grounds: (1) it did not receive actual notice of the action in time to defend, (2) the default resulted from mistake, inadvertence, surprise, or excusable neglect, (3) the Court's inherent equitable authority supports relief, and (4) the default resulted from the neglect of Thermal's attorney.

In its Reply, Thermal also asserts for

the first time that the default is void. While a court may set aside a void order at any time on motion of a party, such relief requires proper notice and an opportunity to be heard. (Code Civ. Proc., § 473, subd. (d).) "Points raised for the first time in the reply brief are generally not considered, out of fairness to the respondent." (Crowley Maritime Corp. v. Boston Old Colony

Insurance Co. (2008) 158 Cal.App.4th 1061, 1072, citing Scott v. CIBA Vision Corp. (1995) 38 Cal.App.4th 307, 322.) The Court accordingly limits its analysis to the grounds asserted in the moving papers.

(1)

Lack of Actual Notice

Thermal first asserts that relief should be granted because it did not receive actual notice of the action.

Thermal explains that, at the time Plaintiff attempted initial service, Thermal's designated agent for service listed with the Secretary of State was inaccurate. (Mot., at p. 3.) Thermal submits the declaration of its Responsible Managing Officer, Canizalez, in support. Canizalez attests that at the time Plaintiff attempted service, its designated agent for service of process had resigned. (Canizalez Decl., ¶ 7.) Canizalez further attests that Thermal had "unknowingly" not yet designated a replacement agent. (Ibid.) Canizalez states that Thermal did not receive any documents from the Secretary of State, and the first Canizalez personally learned of the action was when Thermal's attorney notified him of the entry of default on January 26, 2026. (Ibid.)

The Court accepts that Thermal lacked actual notice of the action. Thermal's position appears to be that the lack of actual notice resulted from incorrect information being filed with the Secretary of State. Other than Canizalez concluding that it was "unknowing," however, Thermal does not explain how the failure to appoint a new registered agent and keep its business registration up to date was not the product of its own neglect.

The Corporations Code requires corporations to maintain a viable channel for service of process. (Corp. Code, §§ 1502-1504.) This includes appointing a registered agent, promptly replacing an agent who has resigned, and promptly filing a designation of a new agent. (Ibid.) As Plaintiff shows in its Opposition, Thermal's actions and omissions undermine any assertion of inexcusable neglect. Canizalez attests that the registered agent resigned, but the Statement of Information filed with the Secretary of State indicates that Canizalez himself was the registered agent, chief executive officer, secretary, and chief financial officer of Thermal. (Claus Decl., Exh. 1.) Under these circumstances, the Court does not credit the

proposition that Canizalez's resignation would lead to an "unknowing" vacancy. Moreover, Thermal affirmatively filed the Statement of Information within days before Plaintiff attempted service that indicates that the address for service was the address where Plaintiff in fact attempted service. (Clauss Decl., Exhs. 1, 2.) Thermal does not indicate who was responsible for the filing or present any facts indicating that the filing was inadvertent or mistaken.

The Court accordingly finds that Thermal has not met its burden of establishing that the lack of actual notice was not the result of avoidance of service or inexcusable neglect. Relief under section 473.5 is unavailable.

(2)

Discretionary Relief Under Section 473,
Subdivision (b) and Relief Based on Extrinsic Mistake

Discretionary relief pursuant to Code of Civil Procedure section 473, subdivision (b) also requires Thermal to show that the default resulted from excusable neglect. (Code Civ. Proc., § 473, subd. (b).) And relief based on the Court's inherent equitable power requires a defendant to show a satisfactory excuse. (Kramer v. Traditional Escrow, Inc. (2020) 56 Cal.App.5th 13, 29-30.)

Thermal's argument for excusable neglect and equitable relief rests on the same facts as its argument for lack of actual notice. Specifically, Thermal contends that it did not respond to the action because it did not receive the Summons and Complaint due to inaccurate information being on file with the Secretary of State.

As discussed above, Thermal fails to establish that the failure to keep accurate information on file with the Secretary of State was excusable. Discretionary and equitable relief are accordingly likewise unavailable.

(3)

Mandatory Relief Under Section 473,
Subdivision (b)

The mandatory provision of Code of Civil Procedure section 473, subdivision (b) requires the court to vacate any resulting default entered

by the clerk against an attorney's client if relief is requested within six months after entry of judgment, is in proper form, and is accompanied by "an attorney's sworn affidavit attesting to the attorney's mistake, inadvertence, surprise, or neglect." The Court must grant relief even in cases where the neglect was inexcusable, unless the Court finds that the default was "not in fact caused" by counsel's error. (*Martin Potts & Associates, Inc. v. Corsair* (2016) 244 Cal.App.4th 432, 439.) As long as the attorney attests to circumstances demonstrating that he or she was at fault, the mandatory provision of section 473 applies. (*Carmel, Ltd. v. Tavoussi* (2009) 175 Cal.App.4th 393, 401.)

Thermal asserts that its attorney was aware of the instant action as early as December 30, 2025. (Mot., at p. 7.) Thermal contends that the failure of its attorney to investigate the action resulted in default and provides grounds for mandatory relief. (*Ibid.*) Thermal's attorney, Jonelle Oldacre ("Oldacre"), submits a declaration in support of the Motion. Oldacre attests that on December 30, 2025, she was served with an electronic copy of an order denying Plaintiff's request to deem the instant action and another action—filed by Thermal against Plaintiff—related. (Oldacre Decl., ¶ 8.) Oldacre further attests that she mistakenly did not realize that service had been effectuated in the instant action. (*Ibid.*)

Plaintiff contends that Oldacre's declaration identifies only error "in the abstract," without establishing that the error was the cause of the default. The Court finds that the declaration states sufficient facts to demonstrate attorney fault. (See *Carmel, Ltd.*, *supra*, 175 Cal.App.4th at p. 401 ["When an attorney 'attests to'—that is, declares to be true—facts demonstrating he or she was at fault, application of section 473 is not negated by the attorney's contrary opinion."].) Oldacre admits that she had knowledge that this action was pending against Thermal but took no action on it. Given that Canizalez has declared that he had no knowledge of the action until after default, Oldacre was in a unique position to follow up with either Plaintiff's counsel or Thermal and Canizalez regarding service, but failed to do so. Had Oldacre reached out to Plaintiff's counsel, she would have known that the Complaint had been served before the default was taken on January 26, 2026.

Given the strong policy in favor of disposition of the merits, the Court finds Oldacre's declaration sufficient to establish that failure to respond to the Complaint was due to attorney error.

The Court accordingly GRANTS the Motion.

B.

Monetary

Sanctions

“The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties.” (Code Civ. Proc., § 473, subd. (b).) The Court has granted relief pursuant to the mandatory provision of section 473, subdivision (b). Pursuant to that section, the Court accordingly orders Thermal's counsel to pay reasonable compensatory legal fees and costs to Plaintiff's counsel.

CONCLUSION

The Court GRANTS Defendant Thermal Air Conditioning, Inc.'s motion to set aside the January 26, 2026 entry of default. Thermal Air Conditioning, Inc.'s Answer, filed concurrently with the motion, is deemed served and filed as of this date.

Defendant's

counsel is ordered to pay reasonable compensatory legal fees and costs to Plaintiff's counsel, in an amount to be determined upon further hearing.

The

Case Management Conference is continued to _____ at 8:30 a.m. in Department F49.

Plaintiff's

counsel is ordered to file a supplemental declaration in support of attorney fees and costs at least ten days prior to the Case Management Conference. Defendant's counsel may file any opposing declaration at least five days prior to the Case Management Conference.

Moving party to give notice.